Situation 1

Step 1: Select an appropriate benchmark

Co 1 is a profit-oriented entity in the fashion industry and the company has consistently made profits over the periods presented. This suggests that **profit before income taxes** would be an appropriate benchmark. It is also a listed company, and profit before income taxes is often the required benchmark for listed companies.

Step 2: Select the appropriate range

When profit before income taxes is used as a benchmark, the appropriate range is usually between **5% and 10%**.

Step 3: Select the data to be used

The 6-month profit before income taxes figure extrapolated for the full year is £286m. As there have been some fluctuations in profit before tax, it would be appropriate to use an **average profit over three years**.

Step 4: Calculate the materiality range

The average profit over three years is £248m. The range for overall materiality is therefore between **£12.4m and £24.8m** (5%-10%).

Step 5: Select the final materiality figure from within the range

As this is a listed entity, there is a **higher level of risk** and the company has recently entered the FTSE 250. Therefore, a materiality level from the **lower end of the range** should be selected. Overall materiality will be set at **£13m**.

Situation 2

Step 1: Select an appropriate benchmark

Health Co is a public sector entity which provides services based on the budget it is awarded, therefore the appropriate benchmark would be **operating expenses**.

Step 2: Select the appropriate range

When operating expenses is used as a benchmark, the appropriate range is usually between **0.5% and 2%**.

Step 3: Select the data to be used

The prior year operating expenses figure includes a one-off cost of £50k in relation to a lawsuit. This can be stripped out to show a **normalised operating expenses** figure of £580k.

Step 4: Calculate the materiality range

Normalised operating expenses is £580k. The range for overall materiality is therefore between **£2.9k and £11.6k** (0.5%-2%).

Step 5: Select the final materiality figure from within the range

As this is the first year your firm have audited this client, there is a **higher level of risk**. Therefore, a materiality level from the **lower end of the range** should be selected. Overall materiality will be set at **£4k**.

Situation 3

Step 1: Select an appropriate benchmark

IT 1 is an investment trust company, therefore the appropriate benchmark is **net assets**.

Step 2: Select the appropriate range

When net assets is used as a benchmark, the appropriate range is usually between **0.5% and 5%.**

Step 3: Select the data to be used

There have not been any significant fluctuations in net assets in the last three years, and there are no current year results available yet. Therefore, it would be appropriate to use the most recent net assets figure for the **year ended 31 Dec 20X3** of £1,700k.

Step 4: Calculate the materiality range

Net assets for the year ended 31 Dec 20X3 are £1,700k. The range for overall materiality is therefore between **£8.5k and £85k** (0.5%-5%).

Step 5: Select the final materiality figure from within the range

This is an existing audit client with no history of material misstatements. There have been no additional risks highlighted for the current year audit, therefore a materiality level from the **higher end of the range** should be selected. Overall materiality will be set at **£68k**.